Some of the most common behaviors an advisor helps individual investors with are:

• Availability Bias/Recency Effect: *Using recent or current market behavior to predict future market behavior.*

The most recent events are always freshest in our minds, and we tend to extrapolate recent events into the future, expecting more of the same. Large recent market gains lead us to be optimistic about our chances, while market losses have the opposite effect. It takes discipline to overcome these natural tendencies.

• Overconfidence: *Believing you know more than other investors.*

While investment research increasingly points to the difficulty of beating the market—especially after fees, trading costs, and taxes are taken into account—it is natural to believe we know more than everyone else. This is the “Lake Wobegon effect” in practice. As Garrison Keillor relates in A Prairie Home Companion, Lake Wobegon is a place “where all the children are above average.” It is all too easy for investors, and even many advisors, to fall into this kind of thinking.

• Loss Aversion: *Fearing a loss more than you want to make gains.*

As human beings, we tend to feel that the pain of experiencing a loss is greater than the joy felt by an equivalent gain. Not recognizing this predisposition can cause people to misjudge their tolerance for risk, making them more likely to bail on their financial plan. Research by Eric Johnson at Columbia University (see the Schlomo Benartzi article for further reading) shows that loss aversion is greater among retirees. Johnson found that retirees feel roughly ten times worse about losing $100 than they feel good about gaining $100. Or, more specifically, the retirees in their research said they would not accept a gamble with a 50 percent chance of winning $100 and a 50 percent chance of losing $10. The general population is loss averse, but generally not to this extent.

• Hindsight Bias: *Thinking you can predict market behavior because you believe you know why past market behavior occurred.*